The Crude Reality

Cheaper crude oil imports from Russia have been a relief, but India has to step up domestic production

By M.G. Arun



Hardeep Singh Puri
Minister of Petroleum & Natural Gas

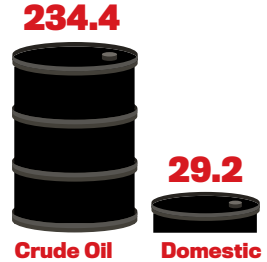
Photograph by BANDEEP SINGH

BOLD & BRAVE

1.68 MILLION BARRELS

Crude oil imported this April from Russia, now India's biggest supplier, despite West threatening sanctions

BUT...



Figures in million tonne for FY23

THE OIL-GUZZLING NATION that we are, India saw its crude oil imports rise to 232.4 million tonnes in 2022-23, a 9.4 per cent year-on-year growth. In value terms, the imports, which help meet over 80 per cent of the country's crude oil requirement, stood at $158.3 billion (Rs 13 lakh crore), a 31 per cent y-o-y rise.

Amid the protracted Russia-Ukraine war, crude oil prices have remained volatile, ranging between $75 and $130 a barrel through the year. But with the Union government striking deals with Russia to import oil at discounted rates, despite the West threatening sanctions, Russia has replaced Saudi Arabia as India's largest crude oil supplier in recent months. The ongoing war is also creating opportunities for Indian refiners. As the European Union stopped imports of petroleum products from Russia, Indian refiners have stepped in to fill the void. India exported petroleum products worth $86.21 billion (Rs 7 lakh crore) during the first 11 months of FY23, accounting for more than 21 per cent of our total commodity exports.

Though international crude oil prices have fallen since the highs recorded just after the war began, petrol is still selling for over Rs 100 a litre in several parts of the country. This makes the job of Hardeep Singh Puri, the Union minister for petroleum and natural gas, a lot tougher, as high fuel prices have been a major contributor to rising inflation.

Domestic consumption of petroleum products in FY23 rose over 10 per cent y-o-y to a record 222.3 million tonnes. This, even as the country produced only 29.2 million tonnes of crude in the fiscal, a 1.7 per cent y-o-y decline. This points to the need to improve self-sufficiency in oil. But attracting private investment is a challenge. In fact, the government had to extend the bid submission period for 10 oil and gas blocks under the eighth round of the Open Acreage Licensing Programme for international competitive bidding multiple times to March 30 this year. As an incentive, exploration and production companies have been allowed to sell crude oil produced by them to any company within the country, including PSU refiners. ■